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US MACRO INSIGHTS

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Changing our Fed call: Cuts delayed but not denied

The primary and most immediate transmission of the Iran war is higher energy prices. This energy shock will likely boost headline inflation and, to a lesser extent, core inflation. We anticipate a disruption to oil production and transit through the Strait of Hormuz for two months from the start of the conflict, with oil prices subsiding thereafter. We also envision slowing consumer sentiment, eroded spending power, and weaker employment and as such are decreasing our expectation for growth this year. This elevated near-term path for inflation will make it difficult for the Fed to reduce its policy rate when we previously anticipated and we are therefore pushing back the next cut in our Fed forecast from June to July, followed by a second cut in October. Should the labor market and economic activity weaken more substantially than we expect, we do not think concerns about the transitory impact on inflation from higher energy prices will prevent earlier cuts – so long as longer-run inflation expectations remain well-anchored. On the contrary, economic resilience could further delay or eliminate cuts. For the time being, the Fed will be content to wait and observe the impact from the war, and like the rest of us continue to follow the ever-changing narrative about its ultimate duration.

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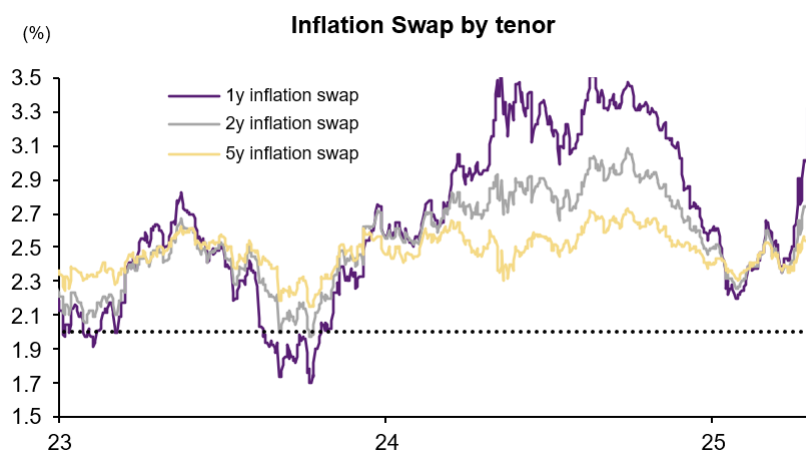
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The Iran war has placed the Fed in a bind. On one hand, the energy shock caused by the disruption of cargo flows through the Strait of Hormuz will put upward pressure on headline, and likely core inflation in the near term. On the other hand, higher prices for gasoline and other products should dampen consumer demand and economic activity. Gasoline prices extend beyond the gas pump, raising distribution costs for goods and likely pushing up prices for many products from groceries to clothing and other consumer staples.

Based on analysis conducted by our energy strategist Joel Hancock, we see oil prices spiking in the next two months before drifting down, albeit to higher levels than previously forecasted, in the second half of the year. Given this energy shock, the higher expected inflation in the next few prints will likely prevent the Fed from cutting in the June meeting as we previously forecast. Instead, we think the Fed will wait until the July meeting to cut and envision another cut at the October meeting (compared to the September meeting previously).

Given the higher forecasted inflation readings, why would the Fed cut twice this year? In our view, a softening labor market will allow the Fed to look through the energy shock so long as longer term inflation expectations remain well-anchored.

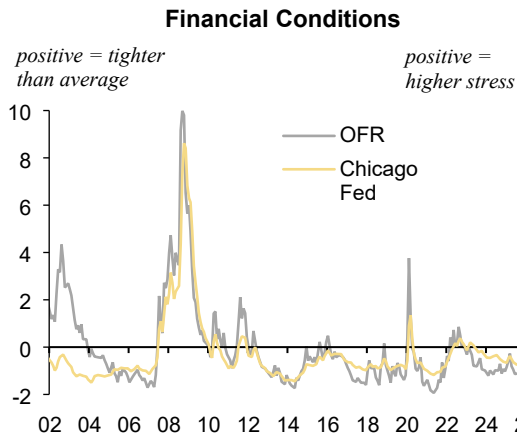
Inflation expectations rose but remain well-anchored in the longer term



Source : Natixis, Haver

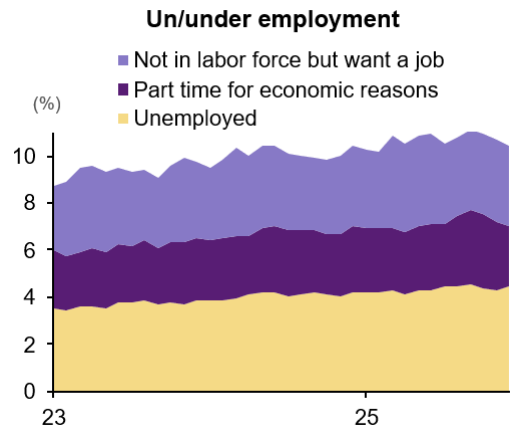
Assuming stable inflation expectations excluding the rise in oil, we believe the Fed will prioritize an upward climb in the unemployment rate. The February employment report showed a substantial slowdown in hiring and an increase in the unemployment rate. We acknowledge that the poor nonfarm payrolls print was exaggerated by one-off effects, but concerns about the labor market writ large will be exacerbated by geopolitical tensions and tighter financial conditions.

Financial conditions remain tighter...



Source : Natixis, Haver

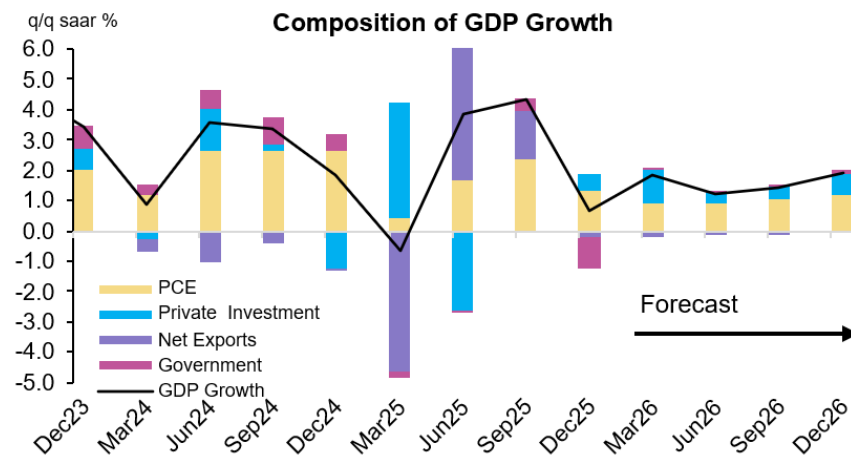
...and the unemployment rate rose in February



Source : Natixis, Haver

Further, the US entered this year with far less momentum than previously thought, with Q4 growth revised down to a mere 0.7% q/q saar. Given the softer consumer spending and headwinds from the war, we have also revised down growth this year to 1.9% (from 2.4% previously).

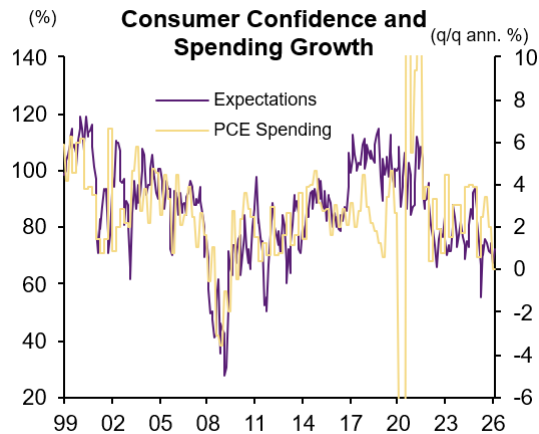
Composition of GDP growth



Source : Natixis, Haver

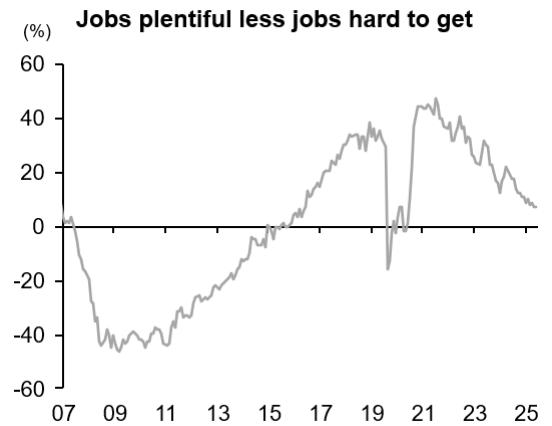
While the US is more insulated from energy shocks than much of the world, conflicts abroad generally have an adverse impact on capex and hiring. In addition, US consumers no longer have excess savings, pent-up demand, and confidence in their job prospects as they did during the outset of the Russia/Ukraine war and spending is likely to be less resilient to this shock in response.

Consumer confidence and spending are lower...



Source : Natixis, Haver

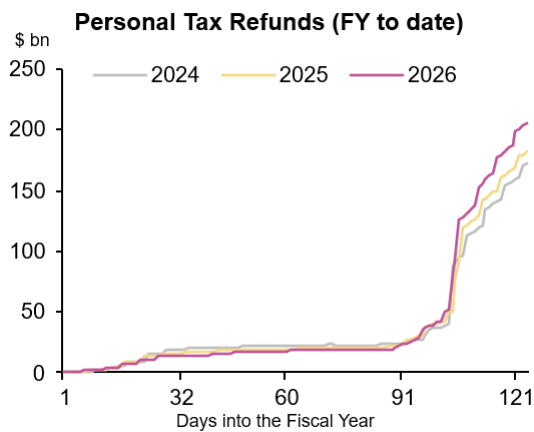
...and job market expectations are more pessimistic



Source : Natixis, Haver

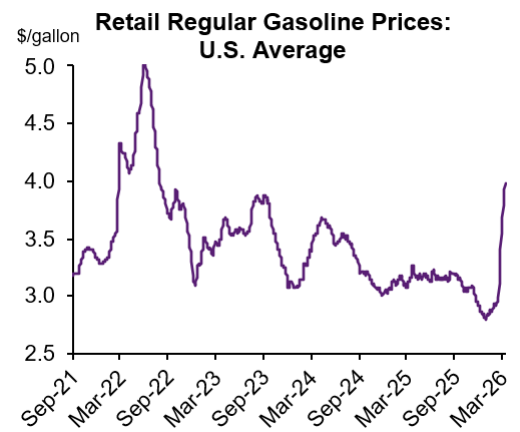
Consumers are cushioned somewhat by higher tax rebates, primarily from the One Big Beautiful Bill, but the windfall from lower tax bills will not be enough to offset the substantial rise in gasoline prices.

Tax refunds increased in 2026...



Source : Natixis, Haver

...while gasoline prices rose sharply



Source : Natixis, Haver

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